

Despite all this, Devdatta Rivonkar, a Mumbai-based business analyst, says, “I wanted to buy a desktop, but now I think I will put in some more money, and go for a laptop from abroad. I don’t mind if the warranty is not applicable here, as laptops generally don’t give problems if used with care.”

In midst of all the celebrations, Acer’s S Rajendran points out a caveat: “This could encourage the grey market. The government should have a robust prevention mechanism. For the Indian customer, ‘touch and feel’ is still an important step in the purchase ritual. With PC penetration in single digits (about six to seven per 1,000), India still has a long way to go before an evolved buying behaviour can be expected.”

The eternal question

When making an IT-purchase decision, the Indian buyer has two options—should I buy a branded product, or should I get it assembled from the neighbourhood engineer? With assembled PCs contributing to over 55 per cent of the market, branded computers have a lot to fight, as reflected in our Service and Reliability Survey in the January 2004 issue.

Most consumers believe in assembled PCs, which is evident in the fact that they contribute to over 55 per cent of the total market. However, consumers who want branded computers may be at an advantage now, and users may prefer them for their apparent reliability.

Says Rohit Jain, business manager, IBM Global Services—“We will have a more open regime, definitely. An eight per cent price advantage will force manufacturers such as Dell to open a local shop in the country, besides providing an added advantage to local manufacturers such as Zenith.”

On the other hand, Sunil Sharma, Managing Director of Kobian feels that, “Assemblers will still have the advantage because of their level of customisation. They are also good when it comes to service, as they are just a phone call away, and you don’t need to keep calling them either.”

Buyer Rish Raj Jain from Sagar, Madhya Pradesh agrees saying, “With an assembled PC, I choose what I want. Except for Dell, branded PCs don’t give me options.” He has another problem. “In

A Quick Guide	
BRANDED PCS	DUTY REDUCTION
Hard disks, floppy drives, CD-ROMs, CPU	Customs duty down to eight per cent from 16 per cent, SAD (four per cent) abolished. Excise duty halved to eight per cent on PCs
Cabinets, SMPS, speakers, RAM, LAN cards, hubs, switches, motherboards, UPS, headsets	Custom duty and SAD abolished SAD abolished, Custom duty still 16 per cent
Mobile phones	Custom duty down to 5 per cent from 10 per cent
Pre-recorded VCDs and DVDs	16 per cent Excise on Product Cost abolished

small towns such as mine, there are no MNC service providers. So if something goes wrong with my branded PC, my dealer will send it to Bhopal or Delhi, and my work will suffer for 20 to 30 days. However, if I buy it from local assembler, I get instant service.”

But even in big cities, the question is will MNC products match prices with their Indian counterparts? V Ranganathan,

the Bangalore-based WeP Peripherals, is unhappy. He says, “Excise duty has not been reduced for computer peripherals such as printers, monitors, etc. Customs duty on finished computer products has been reduced from 15 per cent to 10 per cent, but the duties on many parts of computers and printers (such as print-heads), have been maintained at five per cent, thereby putting local computer manufacturers at a disadvantage as opposed to importers. We will not be able to pass on benefits to consumers.”

And what about VCDs or DVDs?

One of India’s largest distributors of pre-recorded VCDs and DVDs—Muslim Kapasi of Excel Video—says that the government has abolished the 16 per cent Excise duty on the cost of VCDs and DVDs. But royalty, sales tax and indirect taxes still apply. For a distributor, this means a saving of only seven per cent. “But I don’t think any benefits will be passed on the consumers, as distributors will now use the money to revive an ailing industry and to combat piracy. Prices will be reduced only in the long term. He says that even if Indians shop from sites such as amazon.com, the DVDs will violate territorial rights, and sometimes even the Customs may confiscate them as they may not have clearance from the Censor Board of Film Certification.”

Therein lies the rub: No customs duty on DVDs, but customs may not clear it for censorship reasons; no customs duty on laptops, but no after-sales support here without a global warranty that comes at a premium; no reduction in duties for monitors, a component that can constitute nearly 30 per cent of your low- to mid-range desktop PC. So, where does that leave you and me, the common Indian consumer? For this, we have to reach out for the worn-out cliché—wait and watch.

UPENDRA SINGHAI



Ram Agarwal
Chairman and
Managing Director,
WeP Peripherals

// We will be able to catch up with China in terms of per capita PC penetration faster //

Chairman and Managing Director of Cerebra Integrated Technologies Ltd, an Indian manufacturer, says, “With most MNCs setting up manufacturing facilities in India, they will sell at the same level as Indian brands. Those importing machines will find it cheaper, and the gap between domestic brands and imports will reduce considerably.”

What does it mean to you and me?

Until now, the duty structure in India discouraged people from buying laptops abroad. For instance, there was 16 per cent Customs Duty, 8 per cent Special Additional Duty and 16 per cent Countervailing Duty (CVD), i.e., a duty on imports similar to excise duty levied on domestic products. “Which essentially meant,” says IBM’s Rohit Jain, “that a laptop bought for \$1000 in the US would cost around \$1800 here. The waiver of these duties will keep price difference to the minimum.”

Ram Agarwal, Managing Director of